



OVER LAND AND SEA

Health Claims Forum – May 2013

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- Why are we concerned by foreign travel/ residence?
 - What do we mean by a foreign hot spot?
 - Traditional hot spots & more recent hot spots
 - Risks for the insurer
 - Risks for the policyholder
 - Tools for the underwriter
 - Case study 1 - Red flags
 - Case study 2 - Are underwriting and claims aligned?
 - New risks – migration of HNW individuals

Why are we concerned with foreign travel & residency?

Around 57 million UK residents travelled abroad in the year to December 2012. While the majority of journeys were for holidays (36.4 million), many travelled to visit friends and relations (11.4 million) or for business (6.7 million).

What do we mean by foreign hot spots?



Most often its countries with an increased risk of death or disability due to:

- Civil unrest
- HIV infection
- Inadequate medical facilities
- Political and Economic instability
- Recent war or conflict
- Violence
- Current area of war or conflict

TRADITIONAL HOT SPOTS



Traditional hot spots?



Country		UK visitors	Ex-Pats	Deaths	Hospital admissions
Year		2012	2012	2012	2012
1 st	Spain	13.6m	808k	1,755	1,105
2 nd	France	19.3m	253k	788	197
3 rd	Thailand	844k	50k	296	217
4 th	USA	5.53m	829k	210	143
17 th	Philippines	104k	15k	89	25
19 th	Pakistan	275k	43k	19	6

Traditional hot spots?



Country		UK visitors	Ex-Pats	Deaths	Hospital admissions	
Year		2012	2012	2012	2012	2012
1 st	Spain	13.6m	808k	1,755	1,105	0.02%
2 nd	France	19.3m	253k	788	197	0.005%
3 rd	Thailand	844k	50k	296	217	0.05%
4 th	USA	5.53m	829k	210	143	0.005%
17 th	Philippines	104k	15k	89	25	0.1%
19 th	Pakistan	275k	43k	19	6	0.01%



- **Current or recent areas of conflict:**
 - Iraq
 - Afghanistan
- **Countries experiencing political unrest:**
 - Pakistan
 - Zimbabwe
- **Countries with poor healthcare:**
 - South Africa
 - Angola
- **Areas with HIV endemic:**
 - Sub-Saharan Africa
- **Countries with history of violence to foreign nationals:**
 - Algeria
 - Mexico
- **Countries with high instances of fraud:**
 - Pakistan
 - Bangladesh
- **Countries with high occupational fatalities:**
 - Ghana
 - Zimbabwe

EMERGING HOT SPOTS



More recent hot spots



- Syria
- North Korea
- Kyrgyzstan

RISK TO THE INSURED



Environment

- Land mines
- Piracy
- Murder
- Extremes of climate
- Altitude
- Water quality
- Pollution
- Accidents

Medical

- Endemic infection
- Tropical disease
- Poor hygiene
- Lack of medical facilities
- Poor quality medical treatment
- Fake drugs
- Infected blood
- Infected instruments

Political

- War
- Uprising
- Unstable climate
- Coup
- Red tape
- Misunderstanding
- Arrest
- Kidnap

The top 10 threat areas for kidnap for ransom have been identified in a new report published by crisis management assistance company red24. The report illustrates that the crime has become a **multi-billion dollar global business that is now occurring more frequently, and in more locations across the world.**

The top 10 list, which is of greatest relevance to foreign nationals or local **individuals of high-net worth**, shows that historically risky locations such as Mexico, Venezuela and Colombia continue to experience very high levels of kidnapping, hostage taking, piracy and extortion. However, places such as Iraq, Pakistan and Nigeria also feature.

Kidnap – The Hot Spots



Top 10 threat areas for kidnap for ransom in 2012		
1.	Afghanistan	Around 950 kidnappings for ransom per year but foreign exposure is currently limited due to travel restrictions
2.	Somalia	The offshore threat is well established; 24 vessels were seized in 2011 with over 400 hostages taken (and 265 still held captive)
3.	Iraq	No official figures are available for 2011, but red24's anecdotal evidence suggests the risks remain high. The country provides a complex kidnapping risk environment with criminal, terrorist and politically- motivated parties all carrying out kidnappings
4.	Nigeria	The country records well in excess of 1,000 kidnappings for ransom a year
5.	Pakistan	Official statistics reveal over 15,000 kidnappings a year and the true number is likely to be higher due to underreporting. However, only 10-20% of abductions are for ransom
6.	Yemen	Over 200 foreign nationals have been kidnapped over the past 20 years
7.	Venezuela	Official statistics revealed over 1,000 kidnappings for ransom in the first ten months of 2011, and the country has one of the highest per capita rates of abduction in the world
8.	Mexico	Official statistics for 2011 are likely to reveal over 2,000 kidnappings for ransom. However, the actual number is far higher and the Mexican authorities, reported that its statistics revealed some 17,889 kidnaps
9.	Haiti	Incident numbers now in the low hundreds, which is a significant decline on 2006 when some 720 incidents were recorded. However, a significant threat persists and per capita abduction rates are second only to Venezuela
10.	Colombia	Despite a significant reduction in incidents over the past ten years, incident numbers in recent years are still high with 258 kidnappings recorded by the authorities in 2011.

Expenses incurred in responding to:

- Threats to kill or injure
- Threats of violence against personnel or property
- Threats to reveal confidential or proprietary information
- Extortions
- Hijacks
- Hostage situations
- Detentions
- Kidnaps for ransom
- Express kidnaps
- Travel evacuations
- Disappearances
- Child abductions
- Individuals or organisations declared persona non grata

RISK TO THE INSURER





- Increase in claims
- Fraud
- Over insurance
- Anti-selection
- Increased lapse risk
- Legislation
- Problems with repatriation
- Missing persons
- Cost of investigating claim

TOOLS FOR THE UNDERWRITER





•Application form clues:

- Occupation
- Industry
- Nationality
- Medical history
- Avocations
- Past travel/ residence
- Purpose of cover

•Internet search

•MIRA

•Common sense

- Look for ambiguous disclosures
- Become a detective
- Does it make sense
- Are there red flags
- Most importantly of all – don't look at risks in isolation

CASES STUDIES



[illegible]

[illegible]

[illegible]



	Travel to Nigeria in during the next 2 years, 8 times, 42 days – Are terms possible?
	Yes, depending on further info and clarification, terms will range between std rates and 3 per mille. Need to know job/ industry, where in Nigeria travelling to, clarify total time spent in Nigeria for each of the next 2 years, previous and future travel
	Works in maritime industry, on a boat off coast of Nigeria. Trips last for 42 days each and will be x4 for each of next 2 years.
	and previous/ past travel?
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36yr old male. Occ = security consultant

- Maritime security consultancy
Current works for a Dutch dredging company
- Works on a dredger 10 nautical miles offshore of Nigeria
- Not international waters
- He is not armed personally (he's not allowed to be)
- He is the consultant who organises the Nigerian naval guard force to make sure they are doing the job onboard correctly
- Flies from London to Lagos then picked up by facility from company and driven to a guest house (secure, guarded) in Lagos then that day he goes to the port
- Armed guard when he goes to the port
When returning he flies back to the UK
- Contact lasts for another year with the possibility of extension (flexible)
- When in Iraq he was working for the European Union , was based on Baghdad
- He was in charge of protection for European barristers and QCs who were advising the Iraqi government
Bodyguard capacity

•Male 45
Occupation -Sales
Engineer

•Key person cover

•£500,000 Life & CI
with TPD Own Occ

•10 year term

The Company provides navigation systems to a wide variety of markets.

Business Travel. - Lots of European travel but also will be making 5 trips to Libya of 3-5 days' duration each trip.

He will be meeting with Libyan military personnel.

The visits are at Libyan military establishments and close protection is provided at all times.

Any ex-Underwriters want to offer an opinion ?



•Male 45 - Occupation -Sales Engineer •Key person cover •£500,000 Life & CI with TPD Own Occ •10 year term	The Company provides navigation systems to a wide variety of markets. Business Travel. Lots of European travel but also will be making 5 trips to Libya of 3-5 days' duration each trip. He will be meeting with Libyan military personnel. The visits are at Libyan military establishments and close protection is provided at all times.
Life Office	Decision offered
Company A	Life 2 per Mille CI and TPD Declined (due to Libya)
Company B	Life 3 per Mille CI and TPD Occupational Exclusion applied
Company C	Life 2 per Mille CI +100%em TPD declined
Company D	Life 1 per Mille CI – Exclude all accident and disability related benefits TPD declined
Company E	Life 2 Per Mille CI and TPD War and Terrorism exclusion
Company F	Life 2 Per Mille for 5 years CI and TPD declined



All agreed that there is a risk but begs the questions:

- Are we being consistent ?
- 6 different decisions but surely risks remain constant ?
- Is the risk adequately covered ?
- Are the exclusions water tight ?
- Are we being TCF ?
- What issues are we storing up for our claims colleagues?

New risks – HNW individuals relocating to the UK



Boris Berezovsky

- Russian Oligarch who made his money in 1990's when Russia through privatisation of state property
- A friend of president Yeltsin and later Putin before resigning from Putin's party and moving to UK
- 2012 – failed in High Court case against Chelsea owner Roman Abramovich
- March 2013 Found dead at home in Ascot, Berkshire



German Gorbuntsov

- Used to own banks in Russia and Moldova, and set up nearly forty companies in security, construction, real estate and finance
- Was accused of embezzlement by the Moldovan government before moving to London
- In March 2012, he was shot by a hit man, but survived



QUESTIONS